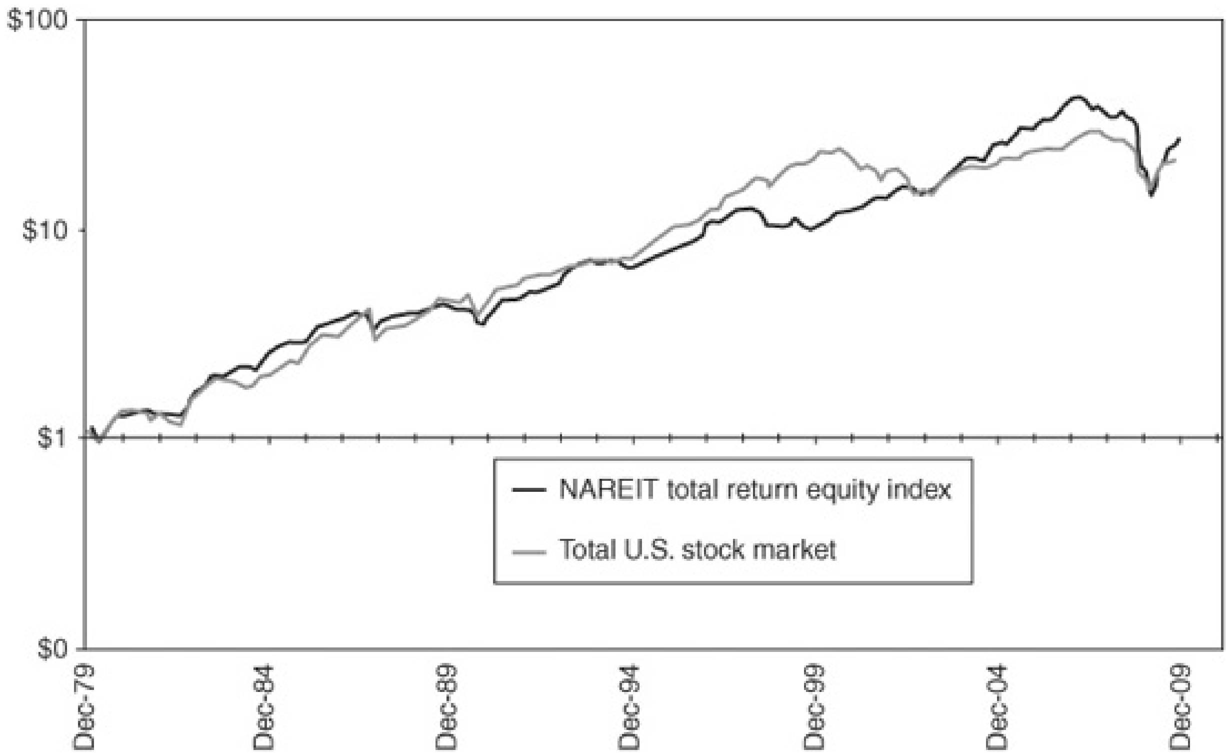

In general, the price only of equity REITs has increased with the return of inflation as measured by the CPI. That is understandable, given the fact that rents typically increase with the rate of inflation and that equity REITs are required to distribute 90 percent of their taxable income.

Once dividends and the reinvestment of dividends are added to the index, a different picture emerges. For all practical purposes, the risk and return of REITs and U.S. common stocks are close enough to say that they have the same long-term expected risks and returns.

Figure 9-3 illustrates the differences in year-over-year returns that have occurred between the total U.S. stock market, the Barclays Intermediate-Term Government/Credit Index, and the Wilshire REIT Index (an index of equity REITs). As you can see from the returns, there has been little consistency among the returns of the three asset classes.

FIGURE 9-3

Annual Returns on CRSP Total U.S. Stocks, Intermediate Bonds, and REITs